

SENATE BILL 2416

By Gardenhire

AN ACT to amend Tennessee Code Annotated, Title 67,  
Chapter 5, relative to property taxes.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 67-5-502(d), is amended by deleting the subsection and substituting instead:

(d)

(1) All mineral interests and all other interests of whatever character, not defined as products of the soil, in real property, including the interest that the lessee may have in and to the improvements erected upon land where the fee, reversion, or remainder therein is exempt to the owner, and which interest or interests is or are owned separately from the general freehold, are assessed to the owner thereof, separately from the other interests in such real estate, which other interests are assessed to the owner thereof, all of which is assessed as real property, unless:

(A) The lessee's or a sublessee's interest in any such real property, including any improvements erected upon the land, is the subject of a lawful agreement between a lessee and this state or a local government, or instrumentality thereof, for payments in lieu of taxes, entered into or amended on or after April 30, 2019; or

(B) The lessee is the lessee of a lease entered into or amended on or after April 30, 2026, and such lessee is an entity that is a corporate instrumentality of a housing authority created under § 13-20-104(b) or an entity in which such corporate instrumentality holds an interest and the

improvements are used in furtherance of the housing authority's public purpose of promoting affordable housing.

(2) In cases described in subdivisions (d)(1)(A) or (B), such property is assessed solely to the governmental entity, including a housing authority, and subject to all applicable exemptions.

SECTION 2. This act takes effect upon becoming law, the public welfare requiring it.